Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · DRHP

Jagatjit Agri Engineering Limited

Mainboard · Agricultural implements · filed 2026-10-01 · lead manager(s): Keynote Financial Services · issue size Rs 349 cr · price band: Not announced · analysed 2026-10-19

CALL

Screen only

BUSINESS STAGE

Scaling (first full year of the combined business)

Pro forma revenue rose 63.1% to Rs 413.97 cr in FY26 with a 13.46% EBITDA margin, but operating cash flow was 8.6% of PAT, and against an illustrative Rs 158.48 (peer-average P/E) Neutral fair value is Rs 93 (-41%), so the price band will decide the call.

Revenue FY26 **₹414 cr** CAGR FY24-FY26: **191.1%**	PAT FY26 **₹31 cr** CAGR FY24-FY26: **254.2%**	EBITDA margin **13.5%** FY24	Cash conversion (CFO / PAT, 3 yrs) **69.7%**
Cash tax rate (3 yrs) **26.1%**	P/E at reference (post-issue) **37.6x** peer median: **27.6x**	Blended value (Neutral) **₹93.09** vs reference: **-41.3%**	Reference price **₹158.48** Rs 158.48 = the DRHP's listed-peer average P/E (28.10x, p. 155) applied to FY26 EPS Rs 5.64 (p. 154). Illustrative only: not a price band and not proposed by the issuer. The last share issue (Oct-2025, Rs 1,547 per Rs 10 share, about Rs 33.63 adjusted for the 22:1 bonus and 2:1 split) was a payment for promoter proprietorships, not a market price (pp. 105-106).

Report structure

Business of the company

Industry outlook

Moat and SWOT analysis

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Future outlook and projections

Valuation: DCF and peer comparison (P2P)

Areas to watch and growth drivers

Conclusion

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

Screen only

STAGE

Mainboard · DRHP

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Basis. Draft Red Herring Prospectus dated 25-Sep-2026, filed with SEBI on 01-Oct-2026; Keynote Financial Services is the sole BRLM. Restated financials run to 31-Mar-2026 (FY26 consolidated; FY25 and FY24 standalone) and are **202 days old** at the date of this note (19-Oct-2026). **No price band has been announced.** Figures are from the DRHP (printed page numbers) in Rs million unless stated; Rs crore where marked. Outside the DRHP: the BRLM's ownership and one share price in Appendix B, from secondary sources and marked unverified.

> Upside is measured against an **illustrative Rs 158.48**: the DRHP's own listed-peer average P/E (28.10x, p. 155) applied to the DRHP's FY26 EPS (Rs 5.64, p. 154). It is not a price band and nobody has proposed it. Exit route assumed: 2-3 year hold. Grey market premium is not used.
>
> A DRHP is a screen, not a decision. The audited record is more than six months old, so no capital should be committed until the RHP, with a price band and newer financials, has been read.

1. Business of the company

- **What it sells:** tractor-operated agricultural implements: Super Seeders, Straw Reapers, Rotavators, Laser Land Levellers, briquette machines and about 15 other products, 192 SKUs in FY26 (pp. 246, 158). Top three products were Rs 2,666.06 m, 64.40% of FY26 revenue (p. 23).
- **Who buys it:** farmers, through 12 distributors and 233 dealers that account for 86.08% of FY26 revenue; direct customers 13.89% (p. 247). Exports were 1.36% of FY26 revenue (p. 248). Northern states 68.04% and Central states 25.95% of revenue (p. 23).
- **How it is priced and earns:** manufacturer's sale price to the trade; subsidy schemes (Crop Residue Management and the Sub-Mission on Agricultural Mechanisation, funded about 60% by the Centre and 40% by states) lower the farmer's net price (p. 56). Gross margin 39.06% and EBITDA margin 13.46% in FY26 (p. 158).
- **What it owns vs outsources:** two plants in Punjab, Cheema (Sangrur) and Dehlon (Ludhiana), with cutting, bending, fabrication, machining, painting and assembly in-house (p. 246). Raw materials and components are bought on short purchase orders with no long-term agreements (p. 23). The Dehlon land (16.20 acres) is leased from the promoter (p. 129).
- **Structure:** the business ran for three decades as two promoter proprietorships, Saron Mechanical Works I and II, and moved into the company from 1-Apr-2025 against 2,09,804 shares issued at Rs 1,547 per Rs 10 share (about Rs 324.6 m) (pp. 105, 247). A subsidiary, Jagatjit Energies (briquette and pellet machinery), was bought on 22-Jan-2026 and was 0.39% of FY26 revenue (pp. 456, 477).

Stage of the business

Classification: scaling.

Evidence	Reading
Pro forma revenue Rs 2,074.48 m, Rs 2,537.60 m, then Rs 4,139.70 m FY24-26 (+22.3%, then +63.1%) (p. 92)	Growth is real but the FY26 step includes the first full year of the combined business
Units sold 8,895 / 12,234 / 19,111 FY24-26 (p. 158)	Volume, not only price, drives the growth
Capacity used: Cheema 73.62%, Dehlon 89.68% in FY26 (p. 267)	The larger plant is near its limit; the expansion is the next step
Working capital 19.4% / 26.0% / 24.9% of revenue FY24-26 (p. 126)	Capital is needed to grow, normal for implement makers selling through dealers

What the stage means: the DRHP's restated FY24-25 columns are not comparable with FY26, so the pro forma columns carry the trend. The valuation uses three-year average margin and working capital in the Neutral case and a 50:50 blend of DCF and peer multiples.

2. Industry outlook

Source: "Industry Research Report on Agri Equipment Sector" by CARE Analytics and Advisory, dated 23-Sep-2026, **commissioned and paid for by the issuer** for this offer (p. 245). Treat its estimates accordingly.

- **Market size:** domestic farm equipment Rs 769 bn in FY20, Rs 1,397 bn in FY26 (10.5% CAGR), Rs 1,876 bn projected for FY30 (7.7% CAGR) (p. 205). The issuer's FY26 revenue is about 0.3% of that figure (our arithmetic). The implement segment grew 10.2% a year over FY23-26 (p. 248).
- **Structure:** moderately fragmented; organised makers about 60% of the market in FY26, the rest unorganised and regional (p. 221). The report profiles Tirth Agro (Shaktiman, revenue Rs 18,917 m in FY25), Maschio Gaspardo, KS Agriculture and Ecostan India (p. 241); the DRHP's listed proxies are VST Tillers, Indo Farm and Escorts Kubota (p. 156). The issuer says no listed company has a comparable portfolio (p. 156).
- **Regulation and policy:** demand depends on state-managed subsidy and empanelment under the CRM and SMAM schemes; the DRHP says reduction or discontinuance of subsidies could reduce demand (p. 56).
- **Cyclicality:** seasonal, with lower revenue in the fourth quarter of each fiscal (p. 34); crop-residue machines also follow state policy on stubble management.
- **Share:** about 13% of the Straw Reaper market by value in FY26; Super Seeder share 30% in Madhya Pradesh, 15% in Haryana and 12% in Punjab by subsidised units (issuer-paid report, p. 246).

3. Moat and SWOT analysis

Moat

- **Brand and distribution:** the 'Jagatjit' brand since the 1980s, 233 dealers and 12 distributors across 20 states (pp. 246-247).
- **Product breadth and in-house manufacturing:** 20 products on shared lines lets the plants switch capacity between products by season and region (p. 246).
- **Regulatory empanelment:** state-level manufacturer empanelment under subsidy schemes is a hurdle for new entrants, shared with other empanelled makers (p. 56).
- **Durability:** moderate. The advantages are brand, channel and execution, not patents (three patents, p. 246). Dealers are partly on letters of intent rather than agreements (p. 23).

STRENGTHS

- Third-largest homegrown implement maker by FY26 revenue (issuer-paid report, p. 245)
- Pro forma revenue +63.1% and units sold +56.2% in FY26 (pp. 92, 158)
- Cash tax 29.3% of FY26 PBT (p. 87)
- RoCE 31.10% and interest cover 5.03x in FY26 (p. 158)
- Brand since the 1980s; 12 distributors and 233 dealers in 20 states (pp. 246-247)

WEAKNESSES

- Top-3 products 64.40% and top customer 25.21% of FY26 revenue (pp. 23-24)
- FY26 CFO Rs 26.85 m vs PAT Rs 313.90 m (p. 88)
- Dealers partly on letters of intent, not agreements (p. 23)
- Dehlon plant at 89.68% utilisation (p. 267)
- Past director disqualification; adjudication pending (p. 489)

OPPORTUNITIES

- Farm equipment market 7.7% CAGR to FY30 (issuer-paid report, p. 205)
- Dehlon expansion of Rs 716.64 m for in-house fabrication (p. 124)
- Briquette and pellet machinery via Jagatjit Energies (p. 245)
- Organised share of the market rising from about 60% (p. 221)

THREATS

- Subsidy reduction or empanelment changes (p. 56)
- Seasonal fourth quarter; Northern and Central states 93.99% of revenue (pp. 23, 34)
- Group company Goodfield Technology has overlapping interests (p. 24)
- Larger rivals such as Shaktiman, Rs 18,917 m FY25 revenue (p. 241)

4. Management analysis and governance

- **Promoters:** Dharam Singh (78, Chairman and whole-time director), his son Jagatjit Singh (44, Managing Director) and Simran Saron (38, whole-time director) (pp. 312-313). Dharam Singh built the business from the 1980s; Jagatjit Singh leads it (p. 246).
- **Board:** six directors: three executive (all promoters) and three independent, Jitendra Pratap Singh, Sudha Laxminarayan Singh and Nimesh Pandya, one of whom, Jitendra Pratap Singh, joined on 10-Feb-2026 (pp. 312-314). The CFO is Rajesh Malik (p. 94).
- **Pay:** FY26 remuneration Rs 30.00 m (Jagatjit Singh), Rs 18.00 m (Dharam Singh) and Rs 12.00 m (Simran Saron), Rs 60.00 m together: 1.4% of revenue and 19.1% of PAT (p. 94).
- **Shareholding and the offer:** promoters and group hold 99.99% before the offer: Jagatjit Singh 88.03%, Simran Saron 8.25%, Dharam Singh 3.69% (pp. 109-110). Jagatjit Singh sells up to 31.00 lakh shares (6.3% of his holding) at a weighted average cost of Rs 5.40 a share (cover, p. 82). A bonus of 22:1 was issued on 27-May-2026 (p. 105).
- **Related parties:** the proprietorships were the company's main counterparties until FY25: in the standalone FY25 accounts they supplied Rs 419.72 m of Rs 735.68 m cost of materials and bought Rs 218.22 m of Rs 959.26 m revenue (pp. 95, 87). In FY26 related-party purchases were Rs 164.91 m (6.5% of cost of materials) (p. 94). Advances to promoters stood at Rs 45.00 m (Jagatjit Singh) and Rs 10.00 m (Dharam Singh) at 31-Mar-2026, and the Dehlon land is leased from Jagatjit Singh at Rs 0.08 m a month (pp. 95, 129).
- **Other group interests:** Goodfield Technology Pvt Ltd, a group company, has common pursuits with the issuer and is also a customer and supplier (Rs 5.46 m sales, Rs 6.24 m purchases in FY26) (pp. 24, 94).
- **Litigation:** no criminal proceedings against the company. Two promoters, Jagatjit Singh and Dharam Singh, were appointed directors on 29-Sep-2020 while a disqualification arising from Jaggatjit Agro Pvt Ltd ran to 31-Oct-2021; the company attributes this to conflicting MCA records, filed an adjudication application on 11-Sep-2026 and the matter is pending (p. 489). The company is the complainant in cheque-dishonour cases against a crane supplier, Rs 2.56 m in the first (p. 489). Materiality threshold Rs 6.74 m (p. 488).
- **Auditor:** Anup Kumar Jain & Co (FRN 005731N). Database-level audit trail was not enabled in the accounting software until January 2026 (pp. 52, 482).

Governance read. The company is promoter-run, as is usual for a business that began as a family firm, and half the board is independent. Points to monitor are the disqualification matter (a past, adjudication-pending item), the scale of dealings with promoter-linked parties before FY26, advances to promoters, and the promoter-owned land under the expansion.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs million	FY24 (standalone)	FY25 (standalone)	FY26 (consolidated)	FY24 pro forma	FY25 pro forma
Revenue from operations	488.60	959.26	4,139.70	2,074.48	2,537.60
Growth	n.a.	96.3%	331.6%	n.a.	22.3%
Gross margin	20.06%	20.98%	39.06%	23.58%	37.19%
EBITDA (issuer KPI)	66.66	111.65	557.38	201.97	368.18
EBITDA margin	13.64%	11.64%	13.46%	9.74%	14.51%
PAT	25.02	65.47	313.90	80.82	206.95
Cash flow from operations	124.93	130.15	26.85	n.d.	n.d.
Inventories	130.23	129.41	1,137.11	600.55	690.80
Trade receivables	52.85	244.72	612.95	428.70	421.72
Borrowings incl. leases	267.67	201.44	1,344.07	646.54	845.24
Net worth	5.32	70.78	709.29	264.22	455.62
RoCE (issuer)	21.40%	35.59%	31.10%	26.72%	31.55%

Sources: pp. 85-88, 91-92, 158. n.d. = not disclosed. FY24-25 standalone columns are the company before the proprietorships were merged in; read the pro forma columns for the trend.

At the illustrative Rs 158.48 (post-issue 7.458 crore shares incl. 1.893 crore fresh shares; fresh issue Rs 300 cr): market cap Rs 1,181.96 cr; P/E 28.1x on the DRHP's pre-issue FY26 EPS (Rs 5.64) and 37.7x on post-issue earnings per share (Rs 4.21); P/B 3.2x on post-issue net worth Rs 370.93 cr; EV Rs 1,001.37 cr, EV/EBITDA 18.0x. The DRHP's peers show P/E 23.35-33.34x and EV/EBITDA 12.99-20.93x (p. 156). Sources: pp. 154-156; our arithmetic.

Positives and points to monitor

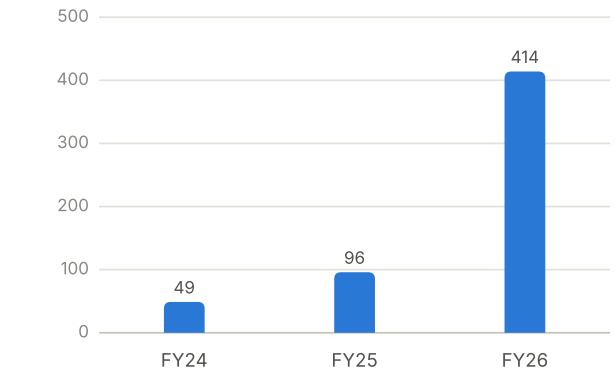
Positives	Points to monitor
Pro forma revenue +63.1% and units sold +56.2% in FY26 (pp. 92, 158)	Operating cash flow Rs 26.85 m, 8.6% of PAT; inventory +Rs 445.46 m (p. 88)
Current tax 29.3% of PBT; cash tax paid Rs 104.52 m (pp. 87-88)	Other income includes Rs 26.05 m of sundry balances written back, 5.9% of PBT (p. 473)
Interest cover 5.03x; debt/equity 1.89x (p. 158)	Borrowings Rs 1,344.07 m; Rs 945.02 m of Rs 1,150 m working-capital limits used at 31-Aug-2026 (pp. 125-126)
Receivables: 96.8% within six months of due date; allowance 2.5% (p. 371)	Bad debts Rs 13.80 m and allowances Rs 34.90 m charged in FY26 (pp. 88, 472)
Contingent liabilities Rs 29.35 m plus guarantees Rs 42.35 m, 10.1% of net worth (p. 93)	GST demands Rs 22.67 m, of which Rs 2.14 m relates to Saron Mechanical Works (p. 93)

Working capital in context. Working capital rose from Rs 658.57 m (pro forma FY25) to Rs 1,029.46 m, Rs 0.23 for each additional rupee of revenue. Inventory days were 132 against 139 pro forma FY25, receivable days 45

against 61, and payable days 106 against 127 (p. 127). The inventory build includes Rs 485.98 m of finished goods and work in progress transferred in with the businesses (p. 474).

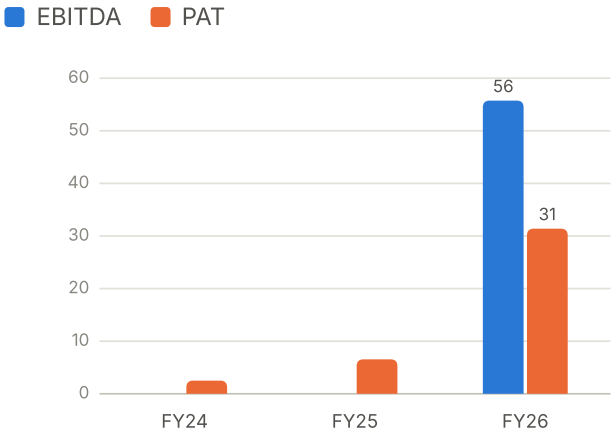
Revenue from operations

Rs crore



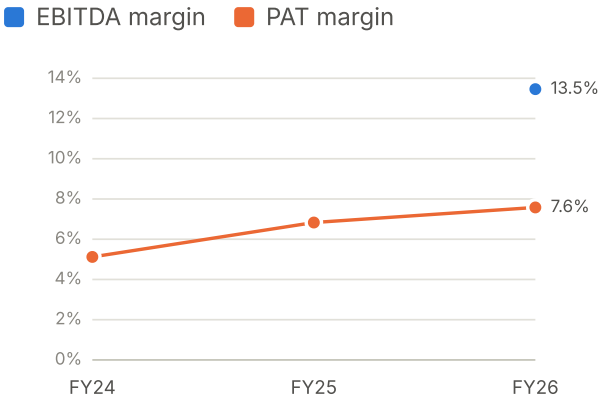
EBITDA and PAT

Rs crore



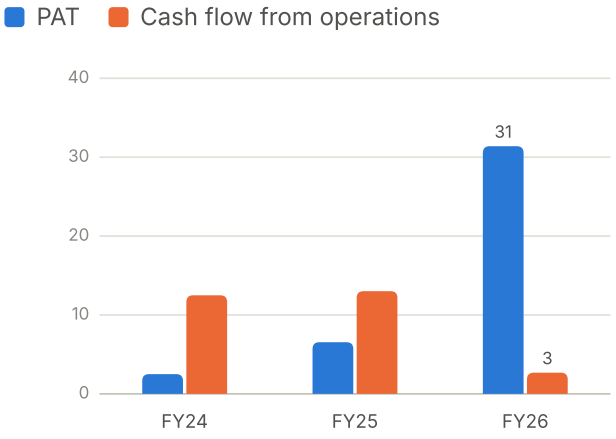
Margins

% of revenue



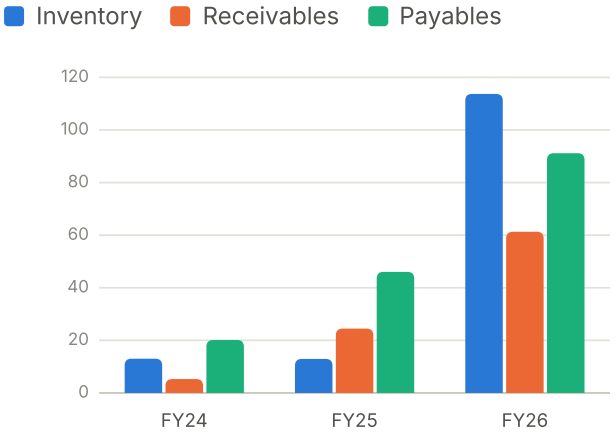
Profit and operating cash flow

Rs crore



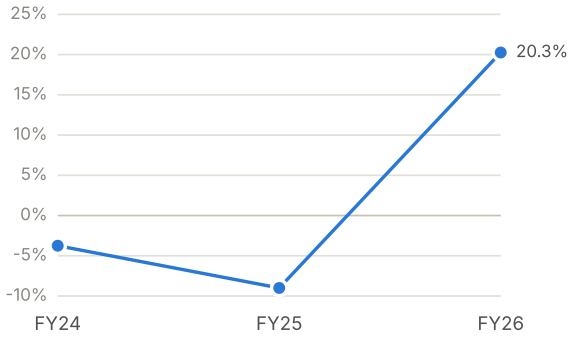
Working capital

Rs crore, year end



Net working capital

% of revenue



6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

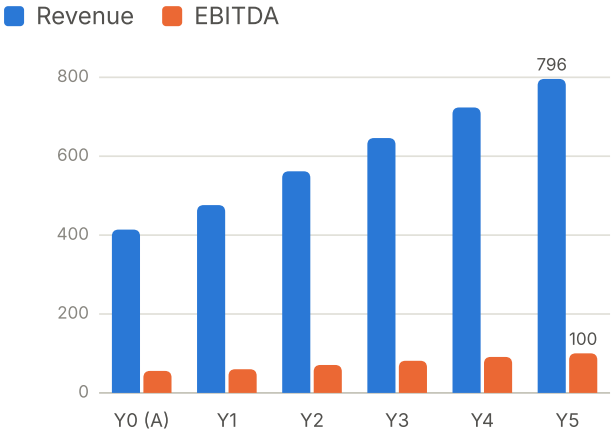
- **Contracted:** the DRHP gives no order book and no revenue guidance. The working-capital plan is the only forward indicator: current assets Rs 2,149.59 m (FY26) to Rs 2,905.14 m, Rs 3,774.00 m and Rs 5,249.65 m in FY27-29, +35%, +30% and +39% (pp. 126-127).
- **Capacity:** Cheema 19,875 units and Dehlon 4,000 units installed in FY26, at 73.62% and 89.68% used (p. 267). The Dehlon expansion (fabrication, utilities, R&D unit) is funded in FY28 (p. 124).
- **New products:** briquette and pellet machinery and balers (pp. 245, 267).
- **Management's view:** capacity expansion to capture a market projected to grow 7.7% a year to FY30 (issuer-paid report, p. 129).
- **Three-year path (our scenarios, revenue Rs crore):**

	FY27	FY28	FY29	Driver
Bear	434.7	469.4	507.0	Demand flat in real terms; IPO-funded expansion not delivered
Neutral	476.1	561.8	646.0	Capacity-bound in FY27, then the Dehlon expansion
Bull	517.5	672.7	840.9	Super Seeder share gains and expansion on time

What has to go right: the Dehlon plant is built and filled, working capital stays near 23-25% of revenue, and subsidy schemes continue. **What is already contracted:** nothing is disclosed.

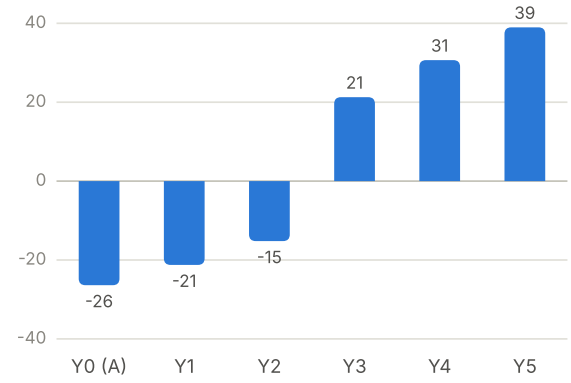
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore



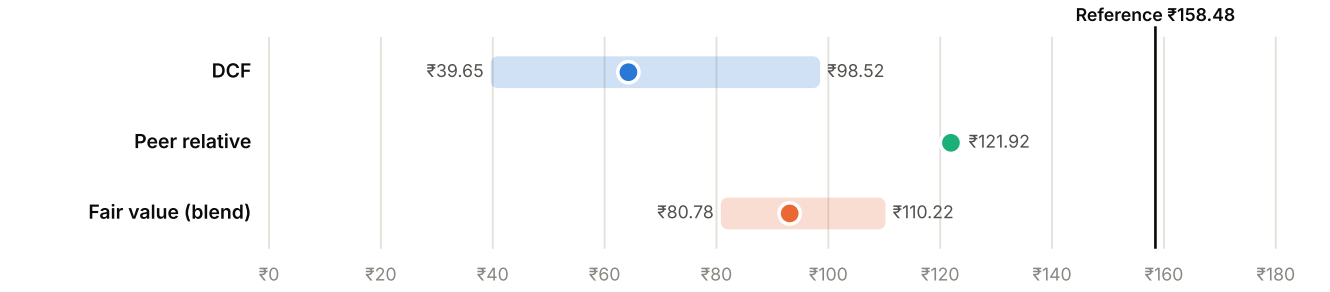
7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Rs 158.48 = the DRHP's listed-peer average P/E (28.10x, p. 155) applied to FY26 EPS Rs 5.64 (p. 154). Illustrative only: not a price band and not proposed by the issuer. The last share issue (Oct-2025, Rs 1,547 per Rs 10 share, about Rs 33.63

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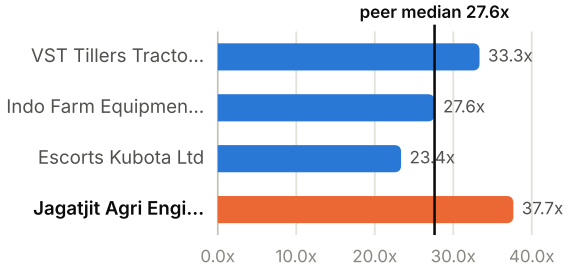
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



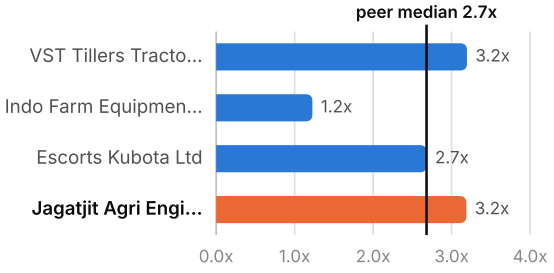
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹39.65	₹121.92	**₹80.78**	-49.0%
Neutral	₹64.26	₹121.92	**₹93.09**	-41.3%
Bull	₹98.52	₹121.92	**₹110.22**	-30.4%

WACC **14.4%**

Terminal value share of EV **92.7%**

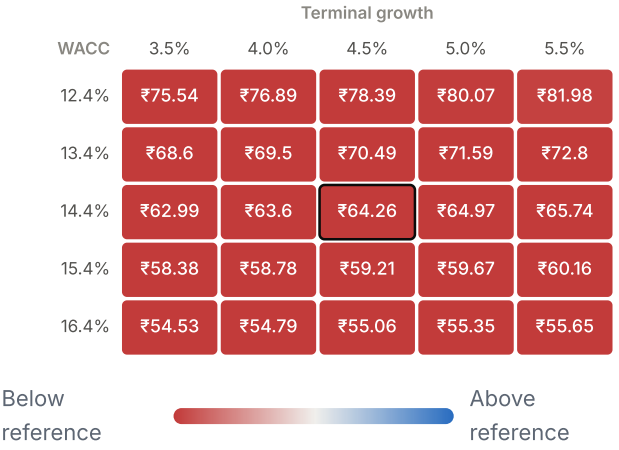
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	14.4%
required EBIT margin (steady state)	40.8%	12.3%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	24.9%

Current free cash flow is negative, so no multiple can be stated: the price assumes cash generation improves from here.

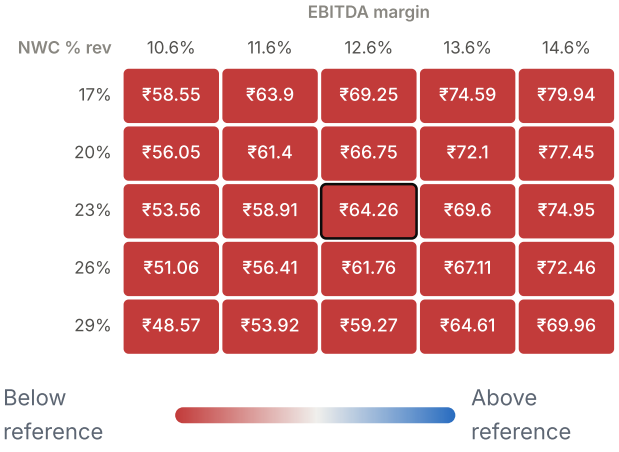
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are the DRHP's own, closes of 11-Sep-2026, FY26 figures (p. 156). The issuer states no listed company has a comparable portfolio; tractor makers are proxies for end-market, not business model. Peer revenue growth, EBITDA and share counts are not in the DRHP, so only P/E and P/B are used.

Company	Price (Rs)	EPS (Rs)	NAV (Rs)	P/E	P/B	EV/EBITDA (DRHP)
VST Tillers Tractors	4,039.90	121.16	1,264.48	33.34x	3.20x	20.93x
Indo Farm Equipment	141.95	5.14	115.81	27.62x	1.23x	12.99x
Escorts Kubota	2,900.15	124.20	1,082.14	23.35x	2.68x	20.82x
Peer median				**27.62x**	**2.68x**	20.82x
Jagatjit at Rs 158.48 (post-issue)	158.48	4.21	49.73	**37.7x**	**3.19x**	**18.0x**

Read: on the DRHP's pre-issue EPS the illustrative price equals the peer average (28.1x) by construction. On post-issue earnings, after about 1.89 crore new shares, the P/E is 37.7x against a 27.6x median. The issuer's RoNW of 44.26% is far above the peers' 4-11% (p. 156), which supports a higher P/B than peers; its FY26 earnings base is also one year long.

DCF and fair value

Inputs (FY26, Rs crore): revenue 413.97; pro forma FY25 revenue 253.76; EBITDA 55.74; D&A 4.67; PAT 31.39; net worth 70.93; net debt 119.42; working capital 102.95 (issuer's table, p. 126) against 65.86; capex 32.18. Offer expenses and general corporate purposes are not disclosed and are not deducted; the full Rs 300 cr is credited to equity.

Cost of capital (house CAPM build): risk-free 6.5%, beta 1.10, equity risk premium 7.0%, size premium 2.0%, no company-specific premium. Cost of equity 16.2%; pre-tax cost of debt 9.5%; debt weight 20%; **WACC 14.4%**. Terminal growth 4.50%.

Five-year free cash flow (Neutral, Rs crore):

	FY26 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	63.1%	15%	18%	15%	12%	10%
Revenue	413.97	476.07	561.76	646.02	723.54	795.90
EBITDA (12.6%, three-year average)	55.74	59.98	70.78	81.40	91.17	100.28
NOPAT	38.22	40.87	48.23	55.46	62.12	68.33
Working capital (23.4% of revenue)	102.95	111.40	131.45	151.17	169.31	186.24
Free cash flow to firm (after IPO-funded capex)	-26.39	-21.25	-15.21	21.27	30.66	38.97

Terminal value is 92.7% of enterprise value, because the first two years carry the Rs 71.66 cr expansion and the working-capital build. Terminal ROIC 18% sits above the 14.4% WACC.

Rs per share	Bear	Neutral	Bull
DCF	39.65	64.26	98.52
Relative (peer-median P/E and P/B, no discount)	121.92	121.92	121.92

Rs per share	Bear	Neutral	Bull
Fair value (50:50 blend)	**80.78**	**93.09**	**110.22**
Against Rs 158.48 (illustrative)	-49.0%	-41.3%	-30.4%

- **Scenario drivers:** year-1 growth 5% / 15% / 25% easing to 5% / 10% / 15% by year 5; EBITDA margin 10.0% / 12.6% / 14.5%; working capital 28% / 23.4% / 20% of revenue; terminal ROIC 13% / 18% / 24%. Rationale and page cites are in the valuation workbook.
- **Why the two methods differ:** peer multiples price FY26 earnings of Rs 31.39 cr as the market prices listed tractor makers (Rs 122 a share, on post-issue shares). The DCF prices cash: free cash flow is negative until the expansion and the working-capital build are paid for, and the model grows revenue at 15% falling to 10% against an FY26 base that already includes a 63% step-up (Rs 64).
- **Sensitivity (Neutral DCF, Rs per share):** WACC 12.4% to 16.4% moves it from Rs 78 to Rs 55; working capital at 17.4% of revenue with a 14.6% margin gives Rs 80, and 29.4% with 10.6% gives Rs 49. Margin is the larger lever.
- **Reverse DCF at Rs 158.48:** FY26 free cash flow was negative (-Rs 26.39 cr), so no cash-flow multiple can be stated; the price assumes cash generation improves from here. Holding today's working-capital level, a steady-state EBIT margin of about 40.8% would be needed against 12.3% actual, and no working-capital level reaches the price on its own. This says the illustrative price needs revenue to keep compounding above our Neutral path, not that it cannot be reached.

8. Areas to watch and growth drivers

Growth drivers to track

- **Utilisation and the Dehlon expansion:** Dehlon is at 89.68% and the Rs 716.64 m programme starts in FY28 (pp. 124, 267).
- **Super Seeder and Straw Reaper demand** under state subsidy schemes (pp. 56, 246).
- **Channel breadth:** 20 states in FY26 against 15 in FY25 and 10 in FY24 (p. 158).
- **Gross margin:** 23.58% to 39.06% pro forma FY24-26 as the company absorbed the proprietorships' trading margin (p. 158).
- **Briquette and pellet machinery** through the subsidiary (p. 245).

Points to monitor

Item	Now	Why it matters to an investor
Cash conversion	CFO Rs 26.85 m vs PAT Rs 313.90 m (p. 88)	Sets how much of the Rs 300 cr is needed for growth capital
Customer concentration	Top customer 25.21%, top-10 50.04% (p. 24)	Normal for a dealer-led maker; a lost account moves revenue
Working capital	24.9% of revenue; Rs 1,100 m of proceeds go to it (pp. 124, 126)	Largest object; FY28-29 funding, not FY27
Promoter dealings	Advances Rs 45.00 m and Rs 10.00 m; land lease Rs 0.08 m a month (pp. 95, 129)	Terms and repayment
Disqualification matter	Adjudication pending (p. 489)	Closure before the RHP
Reg 6(2) route	75% of the offer must go to QIBs or the offer fails (p. 57)	Execution risk
Subsidy policy	Centre 60%, states 40% (p. 56)	Demand for the flagship products

What would change our view

- **Towards a decision-ready case (RHP):** a price band at or below about Rs 103 would put the Neutral blended value (about Rs 93, price-sensitive) within -10%, the Subscribe test; between about Rs 103 and Rs 133 the call would be Neutral. These cut-offs hold the fair values constant and move once the share count is known.
- **Operating evidence (our tests):** H1 FY27 revenue of at least 50% of our Neutral FY27 figure (Rs 238 cr; the fourth quarter is seasonally weak, p. 34), positive operating cash flow for H1 FY27, and working capital at or below 25% of revenue at 30-Sep-2026 would support the Neutral path or better.
- **Towards Avoid:** a band above about Rs 133, where both limbs of the Avoid test apply, or any further regulatory finding on the promoters or the company.

Risks

- Concentration in three products and two regions (p. 23).
- Seasonal fourth quarter and dependence on subsidy schemes (pp. 34, 56).
- Dealers on letters of intent (p. 23).
- Short-term bank debt funds working capital (pp. 125-126).
- Large promoter-group supply at six months (Appendix A).

9. Conclusion

CALL

Screen only

STAGE

Mainboard · DRHP

Pro forma revenue rose 63.1% to Rs 413.97 cr in FY26 with a 13.46% EBITDA margin, but operating cash flow was 8.6% of PAT, and against an illustrative Rs 158.48 (peer-average P/E) Neutral fair value is Rs 93 (-41%), so the price band will decide the call.

Business stage Scaling (first full year of the combined business)

Screen only: no price band yet. For reference, the call rule in the Fund's standing instructions would give **Avoid** at the illustrative Rs 158.48: the Neutral blended value (Rs 93.09) is more than 30% below it and the Bull value (Rs 110.22) is also below it. No material issue was found. The illustrative price is generous, being the DRHP's peer average applied to a pre-issue EPS, so a lower band would change the answer.

The investment case.

- The business scaled quickly: pro forma revenue +63.1% and units +56.2% in FY26, EBITDA margin 13.46%, RoCE 31.10% (pp. 92, 158).
- It sells a branded range through 245 dealers and distributors in 20 states, with in-house manufacturing in two Punjab plants (pp. 246-247).
- Tax is paid in cash (29.3% of PBT) and interest cover is 5.03x (pp. 87, 158).

What holds value back at the illustrative price.

- FY26 profit did not turn into cash: CFO was 8.6% of PAT as inventory and other assets grew (p. 88).
- The earnings base is one year long. FY24-25 standalone numbers were mostly dealings with the promoters' proprietorships (p. 95), so the trend rests on pro forma figures.

- At Rs 158.48 the post-issue P/E is 37.7x against a 27.6x peer median, while the DCF is Rs 64 on three-year average margins.

Valuation. Fair value Rs 80.78 / **Rs 93.09** / Rs 110.22 (Bear / Neutral / Bull), -41.3% against Rs 158.48 in the Neutral case. **Call rule:** limb two of the Avoid test (Neutral more than 30% below the price and Bull also below it) would apply at this price; there is no price band, so the published call stays Screen only.

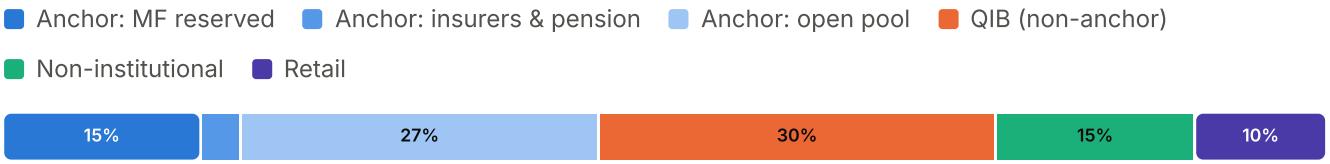
What decides it: the price band relative to roughly Rs 103-133, and whether H1 FY27 results show cash conversion improving.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 349 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	49.57	30
Anchor - tranche 2	49.57	90
Promoter holding above the 20% minimum contribution (after OFS of 31.00 lakh)	376.3	180
Promoter minimum contribution (20% of post-issue capital)	149.16	540

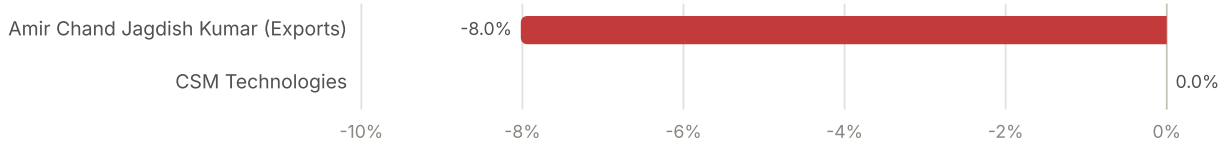
Lead manager: Keynote Financial Services Limited

Listed: Yes (BSE/NSE: KEYFINSERV)
Owner: Promoters about 71.88%: NSS Digital Media Ltd 55.91%, Vivek Nirmal Suchanti 10.45%, Concept Production Ltd 4.34% (June 2026)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586
FY2025-26	0	–
FY2024-25	0	–

Lead managers' recent issues: listing-day open vs issue price

Offer-document data



Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	22:1 bonus (27-May-2026) and 2:1 split are applied to EPS and NAV for all years: FY26 EPS Rs 5.64 = Rs 313.90 m / 5,56,50,984 shares.	pp. 154-155
2	Cash flow vs profit	! Watch	FY26 CFO Rs 26.85 m against PAT Rs 313.90 m (8.6%). Inventory +Rs 445.46 m and other assets +Rs 281.35 m absorbed the cash; receivables released Rs 242.66 m. Cumulative FY24-26 CFO Rs 281.93 m against PAT Rs 404.39 m (69.7%); FY24-25 CFO is standalone and was funded by payables to the promoters' proprietorships (Rs 160.70 m and Rs 259.02 m payables increase).	pp. 88, 126
3	Current vs deferred tax	✔ Pass	Current tax Rs 130.30 m on PBT Rs 444.12 m (29.3%); cash tax paid Rs 104.52 m (p. 88). Profit is taxed in cash.	p. 87
4	Related-party capex & subsidiaries	! Watch	Promoter advances outstanding Rs 45.00 m (Jagatjit Singh) and Rs 10.00 m (Dharam Singh); the Dehlon plant (16.20 acres) is leased from Jagatjit Singh at Rs 0.08 m a month and Rs 716.64 m of proceeds expand it. FY24-25 standalone purchases from the two proprietorships were Rs 420 m / Rs 256 m of Rs 735.68 m / Rs 462.13 m cost of materials.	pp. 94-95, 129
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (Rs 3,000 m); share count undisclosed, so no objects price floor. Specific objects Rs 2,001.64 m; the rest is offer expenses and GCP (cap 25% of gross).	p. 124
6	Revaluation reserve	○ Open		
7	Goodwill vs tangible equity	✔ Pass	Goodwill Rs 4.55 m (0.6% of net worth) from the Jagatjit Energies acquisition.	p. 85
8	Customer / supplier / geographic concentration	! Watch	Top customer 25.21% and top-10 50.04% of FY26 revenue (top-5 40.84%); top-3 products 64.40%; Northern states 68.04% and Central 25.95%. Top-10 suppliers 40.53% of raw material cost, no long-term supply agreements.	pp. 23-24
9	Contingent liabilities	✔ Pass	Contingent liabilities Rs 29.35 m plus bank guarantees Rs 42.35 m = 10.1% of net worth; GST demands Rs 22.67 m. Materiality threshold Rs 6.74 m (p. 488).	p. 93
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	Promoters Jagatjit Singh and Dharam Singh were appointed directors on 29-Sep-2020 while disqualified (to 31-Oct-2021) over Jaggatjit Agro Pvt Ltd; adjudication application filed 11-Sep-2026, pending. The issuer attributes it to conflicting MCA records. Not a current disqualification.	p. 489
R2	CARO / audit trail	! Watch	Audit trail at database level was not enabled in the accounting software until January 2026.	pp. 24, 376
R3	Monitoring agency	○ Open		
R4	Eligibility re-computation	○ Open		

#	CHECK	RESULT	FINDING	PAGE
R5	SME conditions	! Watch	Offer is under Reg 6(2): the issuer fails Reg 6(1)(a) and (c) (net tangible assets and net worth tests), so at least 75% must go to QIBs or the offer fails.	p. 57
R6	Lead-manager track record	✔ Pass	Keynote track record compiled from the DRHP: two issues in FY27 to date.	pp. 510-511
R7	Firm means of finance	! Watch	Rs 1,100 m (36.7% of gross) funds working capital and Rs 185 m repays debt; a monitoring agency is named (p. 11).	p. 124

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** fresh issue up to Rs 3,000 m plus an offer for sale of up to 31.00 lakh shares by Jagatjit Singh (pp. 82, 123). A pre-IPO placement of up to Rs 600 m may be made, which would reduce the fresh issue (p. 83). At the illustrative price the offer is about Rs 349 cr, 29.5% of post-issue capital; the offer must be at least 25% of post-issue capital (p. 83).
- **Eligibility route:** Regulation 6(2) because the issuer fails Regulation 6(1)(a) and (c); not less than 75% to QIBs, otherwise the offer fails (pp. 57, 83).
- **Anchor:** up to 60% of the QIB portion, with one third reserved for mutual funds and 6.67% for insurers and pension funds; anchor allocation is discretionary. Under the ICDR rules half of each anchor allotment is locked in for 30 days and half for 90 days, so an anchor bid cannot be sold on listing day (allocation split, p. 83). Anchor book: not yet available.
- **Use of proceeds:** working capital Rs 1,100 m (deployed FY28 Rs 700 m, FY29 Rs 400 m), Dehlon expansion Rs 716.64 m (FY28), debt repayment Rs 185 m (FY28); the rest is offer expenses and general corporate purposes, capped at 25% of gross proceeds (p. 124). Nothing is scheduled for FY27. The expansion cost excludes GST of Rs 91.74 m that the company will fund itself (p. 124). A detailed project report from L&C Techfin Advisory (not a related party) supports the capex (p. 125).
- **Supply calendar (our computation at Rs 158.48; the DRHP brackets the lock-in table, p. 116):** at listing about 220.3 lakh shares in the offer; at six months about 376.3 lakh promoter shares above the 20% minimum contribution, which is 1.7x the listing float; at 18 months about 149.2 lakh shares of the promoter contribution. One public holder owns 4,600 shares (p. 109).

Appendix B: Merchant bankers

Keynote Financial Services Limited (SEBI Reg. INM000003606; listed on BSE and NSE). Ownership, unverified and from secondary sources (finology.in, indiainfoline.com, June 2026): promoters about 71.88%, led by NSS Digital Media Ltd 55.91%. Year-wise summary from the DRHP (pp. 510-511):

BRLM	Year	IPOs	Raised (Rs cr)	Day-30: discount / premium	Day-180: discount / premium
Keynote	FY25	0	0	n.a.	n.a.
Keynote	FY26	0	0	n.a.	n.a.
Keynote	FY27 to date	2	585.80	2 / 0	1 / 0

Issue	Listed	Size (Rs cr)	Issue price	Opening	Listing gain	Day 30	Day 90	Current price
Amir Chand Jagdish Kumar (Exports)	02-Apr-2026	440.00	212.00	195.00	-8.0%	-23.53%	-15.98%	Rs 171.35 on 28-Aug-2026 (-19.2%; anandrathi.com, unverified)
CSM Technologies	02-Jul-2026	145.80	113.00	113.00	0.0%	-2.75%	n.a.	not sourced

Read: a small track record, two issues in six months, both trading below the issue price at day 30. Revenue and profit growth of these issuers are not sourced here (Appendix D). Keynote has managed no IPO in FY25 or FY26 per the DRHP.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Bonus issue and share count	PASS	22:1 bonus and 2:1 split applied to EPS and NAV for all years (pp. 154-156)
2	Cash flow vs PAT	WATCH	FY26 CFO 8.6% of PAT; FY24-26 cumulative 69.7% (p. 88)
3	Current vs deferred tax	PASS	Current tax 29.3% of FY26 PBT (p. 87)
4	Related-party dealings	WATCH	Advances Rs 55.00 m to promoters; promoter-owned land; FY24-25 trade with proprietorships (pp. 94-95, 129)
5	Objects as price floor	N.A.	Amount-based fresh issue; no share count
7	Goodwill	PASS	Rs 4.55 m, 0.6% of net worth (p. 85)
8	Concentration	WATCH	Top customer 25.21%, top-10 50.04%; Northern and Central states 94.0% (pp. 23-24)
9	Contingent liabilities	PASS	10.1% of net worth including guarantees (p. 93)
R1	Directors' eligibility	WATCH	Past disqualification to 31-Oct-2021; adjudication pending (p. 489)
R2	Audit trail	WATCH	Database-level audit trail from January 2026 (pp. 52, 482)
R5	Eligibility route	WATCH	Regulation 6(2); 75% QIB requirement (p. 57)
R6	BRLM track record	PASS	Compiled above (pp. 510-511)

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
Price band, offer expenses, general corporate purposes amount	High	RHP
Q1 FY27 and later results (audited record ends 31-Mar-2026)	High	RHP
Post-issue share count and lock-in table	Medium	RHP
Pro forma cash flow statement for FY24-25	Medium	Issuer / RHP
Top-supplier share of purchases (only top-10 given)	Medium	Issuer
Peer share counts, net debt and revenue growth	Low	Exchange filings
Revenue and PAT growth and current prices of the BRLM's recent issues	Low	Exchange filings
Anchor allocation list	Low	Exchange filing at RHP stage

Verification

- **Restated P&L reproduces:** FY26 expenses sum to Rs 3,730.61 m; PBT Rs 444.12 m; PAT Rs 313.90 m (p. 87).
- **EBITDA** reproduces the KPI table: PBT 444.12 + finance cost 101.63 + D&A 46.66 - other income 35.03 = Rs 557.38 m (pp. 87, 158).
- **Balance sheet** balances: FY26 total assets Rs 3,188.36 m = equity Rs 709.29 m + liabilities Rs 2,479.07 m (pp. 85-86).
- **Cash flow:** FY26 operating, investing and financing (26.85, -196.81, 236.13) sum to a Rs 66.17 m increase; adding opening cash of Rs 0.34 m and Rs 2.15 m acquired gives Rs 68.66 m against Rs 68.67 m printed (rounding) (p. 88).
- **Working capital** definition follows the issuer's table (p. 126), standalone; the consolidated FY26 difference is the subsidiary (0.39% of revenue, p. 477).
- **Merchant-banker figures** are as printed in the DRHP (pp. 510-511); ownership and the Amir Chand price are secondary and unverified.
- **Workbooks:** the toolkit verification gate is run after this build.

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